

# **INFLUENCING FACTORS OF RURAL CONSUMER-TO-CONSUMER ELECTRONIC COMMERCE IN CHINA**

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## **ABSTRACT:**

So far, poor problems are still a global long period of time, reality and comprehensive question. Even in some developing countries, unbalanced economic development among regions leads to many people still in poverty. Most of poor people live in rural areas and engaged in agricultural products or operation. With the development of Internet, 4G communication technology, smart phone, and modern logistics, e-commerce develop very fast in recent years, and rural e-commerce become an important solution to reduce poverty. A merchant located Mengzi County, a frontier town of china, sold eighty thousand kilograms ginger within 24 hours in Pinduoduo, an e-commerce website, in December 17, 2018.

In recent 10 years, most online sales in china are B2B sale, however since 2015, which is seen as the first year of rural e-commerce, rural e-retail market has a rapid development. In recent 5 years, rural e-retail sales keeps the growth rate of over 30% each year, and sales have reached \$200 billion in 2018. Particularly, C2C e-commerce has been found to be more popular in china, and more than 80% online sales is C2C transaction. Due to the particularity of agricultural products, such as putrescible, not easy to preserve, difficult to quality evaluate, the purpose of this research is to evaluate the factors that affect agricultural products C2C e-commerce.

To ensure the content validity of the scales, we selected items from previous studies and adapted them according to objective reality. We invited 37 merchants to pretest the questionnaire, and after further amendment, we compile formal investigate questionnaire, which contains 13 influencing factors (variation, price, package, quality, customer relations, personalized service, e-commerce operation talents, degree of education, marketing budget, brand promotion, promotion tools, storage location, logistics infrastructure), and 3 evaluation indexes (sales, turnover, profit). we collected 520 valid questionnaires from e-seller on Taobao, which is the largest C2C e-commerce platform in china, via online questionnaires

survey, face-to-face interview, and real sales data collection.

Through description analysis, validity and reliability analysis, factor analysis, correlation analysis, regression analysis, mode-based diagnosis, we established regression equation to estimate the influence factor for agricultural products C2C e-commerce. The equation is shown as  $Y = -0.257 + 0.877F_1 + 0.291F_2$ , which means factor  $F_1$  is the most pronounced factor, which includes e-commerce operation talents, degree of education, marketing budget, promotion tools, storage location, and logistics infrastructure. Another factor  $F_2$ , which includes variation, price, package, quality, and brand promotion, also has a certain influence but not decisive. During face-to-face interview, e-commerce merchants repeatedly emphasized e-commerce operation talents and promotion tools, which partially confirmed our conclusion.